DEPARTMENT OF THE NAVY
NAVAL FACILITIES ENGINEERING SYSTEMS COMMAND NORTHWEST
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CLASS JUSTIFICATION AND APPROVAL
FOR USE OF OTHER THAN FULL AND OPEN COMPETITION
FOR FACILITIES RELATED CONTROLS SYSTEMS -DDC

1. Contracting Activity.

The contracting activity is the Naval Facilities Engineering Systems Command (NAVFAC) Northwest (referred to in this document as "FEC").

2. Description of the Action Being Approved.

Class Justification and Approval (CJ&A) authorizes and approves the use of brand name commercial equipment from the following manufacturers (referred to in this document as "Specified Manufacturer[s] and Product Line[s]"):

Manufacturer Name:	Product Line:
DISTECH EC Line Controllers and Software	See Appendix A
Honeywell Optimizer Line Controllers and Software	See Appendix A

See Appendix A for a listing of products and services covered under this CJ&A. This CJ&A applies to all contract actions for Facility Related Control Systems (FRCS) using programmable building controllers to interface with the Direct Digital Control (DDC) system at installations NAVBASE Kitsap, NAS Whidbey Island, NAVSTA Everett and CNI NAVMAG Indian Island including all special areas for each of the installations. These areas are referred to this document as "installation" and include all Navy Installations and special areas under the cognizance of this FEC.

Authority to act under this CJ&A is authorized from: April 20, 2026- April 19, 2031.

3. Description of Supplies/Services.

The use of this indicated brand name programmable buildings controllers in paragraph 2 will be required for all projects that require a connection to the identified (existing or current under development) installation networked FRCS commonly referred to the Control System Platform Enclave (CSPE).

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The Control System Platform Enclave consists of an area-wide network connecting building level HVAC Direct Digital Control (DDC) from several installations in the NAVFAC Northwest region. The system software is based on a Tridium Niagara Utility Monitoring and Control System (UMCS) front end and Niagara Java Application Control Engine (JACE) enabled building level supervisory controllers.

The requirement to use Distech EC Line Controllers and Software and Honeywell Optimizer Line Controllers and Software to program Distech and Honeywell brand name commercial equipment does not restrict who can install, commission, test, maintain, or operate the controllers and there are several known sources who can provide such services.

The total estimated value for the use of Distech EC Series and Honeywell Optimizer series brand name equipment through April 2031 is [redacted] at outlined in Appendix B.

The cost of programmable building controllers typically represent approximately 20 percent of the cost of the total controls installation effort, and is a miniscule percentage of the total cost of any building construction effort. A non-exhaustive list of projected projects that will utilize this equipment is provided in Appendix B. All required programmable building controllers are authorized under this CJ&A regardless of method of execution or procurement strategy (i.e, contracted, in-house shop forces, base operating support contracts, or material supply chain contractor).

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4. Statutory Authority Permitting Other Than Full and Open Competition.

The statutory authority permitting other than full and open competition is Title 10 U.S.C. 3204(a)(1), as implemented by the Federal Acquisition Regulation (FAR) 6.302-1, "Only a limited number of responsible source and no other supplies or services will satisfy agency requirements."

5. Rationale Justifying Use of Cited Statutory Authority.

The FEC has a reasonable need for standardization and interoperability of its existing building control system that will require a connection to the identified installation networked facilities control and monitoring system, commonly referred to as the Control System Platform Enclave. Applicable United States Government Accountability Office (GAO) Comptroller General decisions have acknowledged the authority of a federal agency to use other than competitive procedures when there is a reasonable need for standardization or interoperability

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with the existing agency equipment or software. GOA has concluded that the government may use other than competitive procedures when there is a reasonable need for standardization or interoperability with existing equipment or software, and when it is likely that award to other sources would result in substantial duplication of cost to the Government that is not expected to be recovered through competition.

To assess the need for standardization and interoperability, a rigorous Business Case Analysis (BCA) was performed on the existing inventory of building control systems connected to the Control System Platform Enclave. This BCA evaluated the standardization of building programmable controllers and quantified the annual costs associated with procurement, sustainment of operation and maintenance, and establishment and sustainment of Department of Navy cybersecurity requirements. The result of this BCA demonstrate that in order to minimize costs and potential cyber vulnerabilities, the use of the indicated brand name programmable building controllers will be required for all projects that require a connection to the Control System Platform Enclave.

Additionally, in support of the Smart Grid Program, all new building control systems, unless identifies by exception, will require connection to CSPE and utilize Government licensed programming software and standardized configurations.

The Installation requires that programmable building controllers be Distech EC line, Honeywell Optimizer line brand name in order to meet its need for, and achieve the benefits of, standardization and interoperability as follows:

a) Establish and maintain a defensible cybersecurity posture. The rapid emergence of cyber incidents on critical industrial Control System (ICS), which include FRCS, with the potential to debilitate our installation mission critical assets has catalyzed the need to establish a defensive cybersecurity posture across the shore enterprise. A Risk Management Framework (RMF) Authority To Operate (ATO) is required per DoD Instruction 8510.01. The Control System Platform Enclave Network has achieved Authority to Operate.

   The indicated manufacturer's programmable controllers and their associated application software will be authorized per the ATO and provide for the following:

   1) Cost-effectively reduce Government information technology cybersecurity risks. Avoid significate costs and delays associated with obtaining a new ATO for the Control System Platform Enclave Network which, due to Government information technology cybersecurity risks, is required when additional non-conforming hardware or software is added to the system which result in changes in security posture of the system. The process of obtaining a new ATO would unacceptably delay the operational use of programmable controllers for the affected facility and connection of the facility to the Control System Platform Enclave Network, resulting in a

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significate degradation in accomplishment of mission.

Similarly, if additional non-conforming equipment and software were added to the Control Stem Platform Enclave Network the associated cybersecurity costs to sustain the inventory of equipment and software and to maintain the ATO would significantly increase. Additionally, minimizing the different types of equipment and software permitted on the Control System Platform Enclave Network avoids incurring additional risks to system operational availability, should NAVFAC Northwest Functional Authorizing Official (FAO) determine that the additional equipment or software has security vulnerabilities precluding obtaining or maintaining an ATO.

2) Control Systems (such as networked FRCS) are classified as Platform Information Technology (PIT) systems. DOD Instruction 8500.01 requires that all PIT systems have their cybersecurity controls documented and validated prior to operation and/or deployment. All PIT systems on Navy networks must obtain an ATO from the FAO. Additionally, connection or integration into CSPE and subsequently Smart Grid requires that the FRCS obtain an ATO from the NAVFAC Northwest FAO.

   ATOs remain valid for 3 years as long as the cybersecurity posture of the system does not change. A cybersecurity posture change includes, but is not limited to, system architecture changes or any other changes that increase risk or degrade the security posture. Any cybersecurity posture changes must be provided to the Navy Validation Group that approved/authorized the ATO for impact review on that risk approval. When a cybersecurity posture changes, the PIT system normally will be required to complete the authorization process again to obtain ATO for the new configuration. The use of different brand named programmable controllers or associated configuration or programming software on the CSPE results in an undesirable, higher number of changes to the cybersecurity posture of the system. Obtaining an ATO is not the end of the process; maintaining an ATO is also very resource intensive and the effort increases exponentially when additional hardware or software is added to the system (that is, requires maintaining cybersecurity controls, vulnerability management, system scans/tests, and similar).

b) Be able to maximize utilization of existing Government-licensed software from existing manufacture to configure and program the controllers. Other contractors do not offer programmable controllers that can be configured/programmed with the Distech EC, Honeywell Optimizer software. Although the BACnet open protocol is the required communications protocol for all manufacturers' controllers, it only allows for different manufacturers' equipment to share basic point data. It does not allow for configuration and programming functions to take place between different manufactures' controllers. For example, Manufacturer A's software cannot be used to program Manufacturer B's controller. Each manufactures proprietary software tools must be used to configure or

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change the program within a controller.

c) Maintain installation networked facilities control and monitoring system so that all controllers can be programmed from a central station verses a hybrid system composed of many different controllers and associated configuration/programming software. This will further increase operational efficiency and decrease installation, maintenance, repair and energy costs. Using hardware products from the same vendor that produced the configuration/programming software eliminates multi-vendor disputes regarding conflicts, standards, protocols, or performance characteristics should the controller not function as required.

d) Avoid the significant operational burden and cost of having maintenance and engineering staff become proficient with the configuration, programming, commissioning, operation, and maintenance of controllers from different manufacturers. Standardization reduces personnel training costs and decreases procurement costs related to additional equipment, maintenance, and support contracts for another manufacturer's hardware and software, as well as the maintenance of an additional part inventory. Maintaining multiple solutions is inefficient and creates unnecessary work and overhead that increases the total costs of ownership and manpower costs.

NAVFAC Northwest technical personnel who performed this BCA have determined that for the installation, the contract actions authorized by this CJ&A will avoid substantial duplication of cost that is not expected to be recovered through competition. Assuming other brand name controllers could be integrated into the installation's Control System Platform Enclave so as to be fully functional, the significant cyber security risks, operational challenges, added costs (including the costs to re-produce the Installation's existing inventory), and other disadvantages arising from the use of different brands of controllers then those listed in Appendix A is not expected to be recovered through competition.

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7. Determination of Fair and Reasonable Cost.

The Contracting Officer has determined the anticipated cost to the Government of the supplies/services covered by this CJ&A will be fair and reasonable.

8. Actions to Remove Barriers to Future Competition.

For the reasons set forth in Paragraph 5, NAVFAC Northwest does not intend to compete future contracts for the types of supplies/services covered by this document. NAVFAC Northwest will continue to monitor the controls industry to determine if a universal controller configuration becomes available and if another potential source emerges, NAVFAC Northwest will continually assess whether competition for future requirements is feasible.